

THE REALITY CHECK

A look at what people want when looking for the right credit card



SUKHPREET SINGH
42, GURUGRAM

▶ **JOB PROFILE:**
HR Head

▶ **MONTHLY CREDIT CARD SPEND:**
Around ₹1.5 lakh

▶ **TYPE OF CREDIT CARD HE WANTS:**
A card that empowers me to travel and spend without worrying about forex fee

▶ **LEAST USEFUL FEATURE:** Golf benefits

▶ **EXPERT ADVICE:** Go for the HDFC Bank Infinia Credit Card. It charges a reduced forex fee and offers complimentary nights and buffet at some ITC hotels; complimentary Club Marriott membership for a year; unlimited global airport lounge access, 5 reward points for every ₹150 spent, and 24x7 Global Personal Concierge service

BY RAJ KHOSLA, FOUNDER AND MD,
MYMONEYMANTRA.COM



RUCHI BAGEJA
30, GURUGRAM

▶ **JOB PROFILE:**
Content Writer

▶ **MONTHLY CREDIT CARD SPEND:** ₹30,000

▶ **TYPE OF CREDIT CARD SHE WANTS:**
A credit card that helps me save on my daily expenses and avail shopping, travel and dining benefits

▶ **LEAST USEFUL FEATURE:** Lounge access

▶ **EXPERT ADVICE:** Axis Bank's ACE Credit Card helps save on utility bill payments and online food delivery; HDFC Millennia offers benefits on popular platforms like Amazon, Flipkart, Myntra, etc.; and Flipkart Axis Bank Credit Card offers 5 per cent unlimited cash back on Flipkart

BY ROHIT CHHIBBAR, HEAD-CREDIT
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you, and then look for the cards that offer them. Further, if you like a brand or a platform, you can check if they have co-branded cards. Lastly, you can also look for cards with specific perks like airport lounge access, no foreign transaction fees, and discounts on movie tickets or eating out.

Know your spending pattern: Begin by assessing your financial situation. Ask yourself: Where do I usually swipe my card? Do I pay off my outstanding dues in full every month or carry a balance? If the answer is yes, then look for cards that offer lower interest rates on carried-over balance. These cards may save you money in the long run. Raj Khosla, Founder and MD of financial services marketplace MyMoneyMantra.com, says users should also analyse where they spend the most. "Different cards offer varying rewards for different categories," he says. For instance, if you travel frequently, consider a card that offers air miles or hotel points. It's essential, though, to check whether the benefits outweigh the costs. Cards that offer multiple rewards often have annual fees, so it's better to calculate whether you will use them sufficiently to make paying the annual fee worthwhile.

The critical point to remember here is that the value of a credit card's benefits depends on your spending habits and your ability to pay off its bill in full every month. A card that suits one person's lifestyle and spending habits may not be suitable for another's requirements. So, it's better to take your time to perform a thorough cost-benefit analysis before applying for a new card.

Cost-benefit analysis: Some cards charge annual fees that can be worthwhile if they are offset by the card's benefits. But, if you don't plan on using the card often, these can quickly outweigh the benefits. The cost of a card typically includes the annual percentage rate (APR), annual fee, balance transfer fee, foreign transaction fee and late payment charges. The APR is the interest you pay on the balance carried forward each month, and it can vary based on your card and credit score. Hence, if you anticipate carrying a balance every month, you could get a card with a low interest rate. Finding out these costs beforehand will help you avoid financial pitfalls that result in debt accumulation. Research suggests that many credit card users pay more in fees and interest than the rewards they earn.

"You must analyse if the benefits offered justify the fee charged. For instance, getting an entry-level card with a basic reward rate at a high annual fee may not be smart, especially when you can get better cards at lower fees," says Rohit Chhibbar, Head of Credit Cards at Paisabazaar.com. Further, it is advisable for travellers to consider cards that don't charge a fee, or charge less for inter-